

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$14.59 ▼ 4.33%	12M Price Target \$18.00	52-Week Range \$12.53 – \$58.15	Market Cap \$4.85B
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RGTI: Quantum Hype Cooling, Quantinuum IPO Steals Spotlight

WHAT HAPPENED

- Stock down another 4.3% on light volume (~5M shares vs the usual 20M+) — that light volume is actually telling: this isn't panic selling, it's more like buyers just walked away. When nobody wants to catch the knife, price drifts lower on air.
- Nine straight down days according to Insider Monkey, and the Street is still calling it a Buy while the stock craters — that disconnect between analysts and price action usually means analysts are behind the curve on sentiment.

WHY IT MATTERS

The Quantinuum IPO (Honeywell's quantum spinoff going public) is the elephant in the room — it gives institutional investors a "cleaner" quantum name to own, and money is rotating out of RGTI to fund positions in the new listing. This is classic supply-of-quantum-exposure problem: more names competing for the same pool of speculative capital. The insider selling at \$20.55 last month now looks prescient — a director dumped \$1.7M right before this slide, which tells you management doesn't see near-term catalysts either. At \$14.59 the stock sits at just 5% of its 52-week range, meaning it's closer to the floor than the ceiling — that's either a setup for a bounce or a warning that the bottom isn't in yet.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single biggest policy lever here — it authorizes billions in federal quantum R&D spending and RGTI is a direct beneficiary through DARPA and Air Force Research Lab contracts. Watch for FY2027 appropriations markups in September; if quantum funding gets prioritized alongside AI in the defense authorization, RGTI's government revenue line has real support. On the flip side, export controls on quantum tech to China (expanding under current administration) actually help RGTI competitively but limit their addressable market — net neutral but worth watching.

IS IT EXPENSIVE?

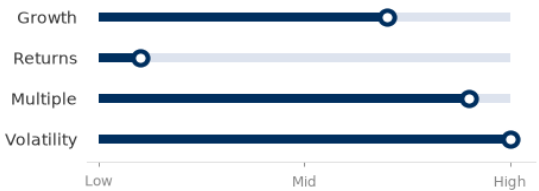
At a \$4.85B market cap on maybe \$18M of 2026 revenue, investors are paying roughly \$270 for every \$1 of sales — that's not a valuation, that's a lottery ticket price. For context, mature software companies trade at \$8-15 per dollar of sales, so RGTI is priced like quantum computing is already working at scale (it isn't yet). The only way this math works is if you believe they hit commercial quantum advantage in the next 3-5 years, which is a real possibility but nowhere near a sure thing.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$14.59
12M Price Target	\$18.00
Upside / (Downside)	+23.4%
Market Cap	\$4.85B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$18.00	\$14.50	\$11.00
6 Months	\$25.00	\$16.00	\$9.00
1 Year	\$35.00	\$18.00	\$8.00
2 Years	\$50.00	\$22.00	\$6.00
5 Years	\$90.00	\$35.00	\$4.00
10 Years	\$200.00	\$60.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.4%), Staples (+1.8%), Real Estate (+1.4%) — this is a defensive rotation, meaning investors are hiding in boring stable stuff, which is a bad tape for speculative names like RGTI

COOLING OFF: Speculative tech and quantum specifically — money is leaving high-multiple story stocks and finding safer yields elsewhere

ROTATION WATCH: The move into defensives while energy also rallies (+4.4% over 5 days) suggests investors are worried about a growth slowdown — that's poison for cash-burning story stocks that need risk appetite to work

RELATED PLAY: If you want quantum exposure with less binary risk, IBM and GOOGL both have serious quantum programs buried inside profitable businesses — you get the upside without betting the farm on a single research bet

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Holding up better than RGTI because their annealing approach has actual commercial revenue today, not just research contracts
- IBM (IBM): Quantum program is a free option inside a profitable AI/cloud business — investors get quantum upside without the going-concern risk

RGTI CONTEXT: RGTI is lagging the peer group hard right now — nine straight down days while IONQ is also weak but not this bad. When your stock underperforms even weak peers, it usually signals company-specific concerns beyond sector rotation, and that's exactly what the Quantinuum IPO overhang is doing here.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously watching, not buying. The technology thesis is real but the near-term setup is terrible with sentiment collapsing and a well-funded competitor just going public.

POSITION SIZE: 1-2% max, and only in the "speculative moonshot" bucket of your portfolio — this is not a core holding, this is a lottery ticket on quantum computing working

ENTRY POINTS: I'd wait for either \$12-13 (a test of the 52-week low, which usually shakes out weak hands) or a bounce above \$18 on volume (which would signal the trend has actually changed)

TIME HORIZON: 18-36 months minimum — quantum is a decade-long story and near-term moves are just noise; the real question is whether they have enough cash to survive to the payoff

WHEN TO BAIL: If cash on the balance sheet drops below 18 months of runway, if they announce a dilutive capital raise below \$12, or if a competitor announces fault-tolerant quantum computing before them

HEDGING: The easiest hedge is just position sizing — keep it small enough that a 50% drop doesn't ruin your year. If you want to get fancy, buying puts on IONQ (a similar quantum name) can protect against a sector-wide selloff